CapVisor Associates, LLC
Quarterly Newsletter

Winter 2013

Insurance Asset Management

Volume 5, Issue 1

Inside this issue:

A Focus on Stocks: Where Do We Go From Here?

(continued on page 3)

The US economy appears to be gaining momentum: jobless claims are now at their lowest level since early 2008, the volatility index, a measure of market fear, fell to a low of 12.46 while the exchange traded proxy VXX is trading at or near 52 week lows and finally, China is rebounding nicely. But, are these and other positive indicators enough to support long term market rally?

Today's markets are in a very unfamiliar place. On these pages we have previously focused our discussions on bonds as in *The 30 year Bull Market in Bonds*- see Summer 2012 edition). We addressed the perils facing predominantly fixed income investors, and more specifically, insurance companies. One thing is clear: bond yields are low and will remain so for the immediate future. When the US economy gains and sustains upward momentum, interest rates are likely to rise along with it. So, for the immediate future bond investors face very low yields and in the not-too-distant future, they face the somewhat strange possibility of negative returns.

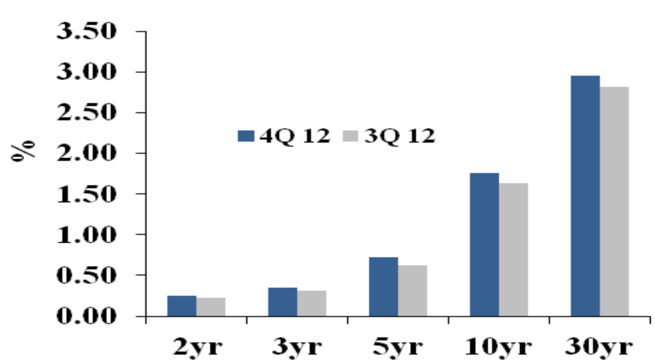
There is no guess work involved in the future direction of interest rates; it is only the timing and magnitude that is in question and will be the determinant of the degree of damage to insurers' bond

Economic Review

(continued on page 2)

Fixed income investors enjoyed another relatively placid quarter to close out the year on a respectable note: the total return on the broad fixed income market as measured by the Barclays Aggregate index was 0.22%. Interest rates rose modestly during the last quarter, but price declines did not overwhelm income and therefore total return remained in positive territory. Full year results were 4.22%. (see exhibit 1)

Exhibit 1: Treasury rates rose in 4Q



Source: Bloomberg

Not much ambiguity to the outlook

We enter 2013 feeling apathetic about spreads, rates, and most other economic matters. The Fed has been crystal clear in its messaging: quantitative easing will continue as long as unemployment remains north of 6.5% and the inflation forecast is 2.5% or less (this is the so-called "outcome-based" policy, a new reinterpretation of their dual mandate of maintaining full employment and low inflation). As long as these conditions hold, the Fed will continue buying as much as $40 billion per month of Agency mortgage-backed securities and $45 billion of Treasuries. We expect these measures will keep rates low for all of 2013.

In fact, the outlook has rarely been this clear: global GDP growth will be low, rates will be low, and supply of bonds will be light. Since demand for fixed income securities remains robust, we expect these conditions to lead to

Richard J. Litchfield, CFA
Vice President
MBA Boston University
BS Boston College

Mr. Litchfield is Head of Trading and Portfolio Management for Opus Investment Management. He joined Opus in 1995 and manages numerous P&C insurance portfolios. In addition, Rich maintains primary responsibility for the entire municipal bond sector. Prior to joining Opus, Mr. Litchfield was a fixed income analyst with Keystone Investments

"Make no mistake: we are in the middle of an unusual global credit cycle of low growth as deleveraging continues."

Economic Review

(continued on page 3)

further spread tightening for spread product. Recall that yield spreads compensate investors for accepting risk (mainly credit, embedded options, and liquidity risk). With tighter spreads, we become less enamored with owning spread product, or at least with adding more. However, the rate environment is such that few alternatives are available. Moreover, the fundamentals of corporate issuers continue to be favorable, albeit no longer improving.

If this *feels* odd, that's because it *is* odd

Make no mistake: we are in the middle of an unusual global credit cycle of low growth as deleveraging continues. Over the past thirty years, much of the developed world became addicted to debt. As the limits of too much debt are reached, bad outcomes emerge (i.e. Greece) since lenders no longer have confidence in the borrower's ability to repay. Cutting debt, or leverage, requires cutting consumption somewhere and this long process is painful for many parts of the economy. Consumers and businesses had no choice but to start along this path earlier as asset prices, the basis for much of the lending, fell during the Great Financial Crisis of 2008. Governments stepped in to replace the dearth of borrowing with stimulus measures, but now the end is nigh and even the mighty US Government must begin to find a way to slow its deficit binge and draw a line in the sand on its still-escalating debt-to-GDP ratio.

That is what the "fiscal cliff" sought to do: establish the beginning of *voluntary* austerity, which is what European governments have been *forced* to do. While Congress softened some aspects of the fiscal cliff, some of the tax increases and spending cuts did take effect but perhaps not enough to stave off the rating agencies from downgrading the ratings of the U.S.

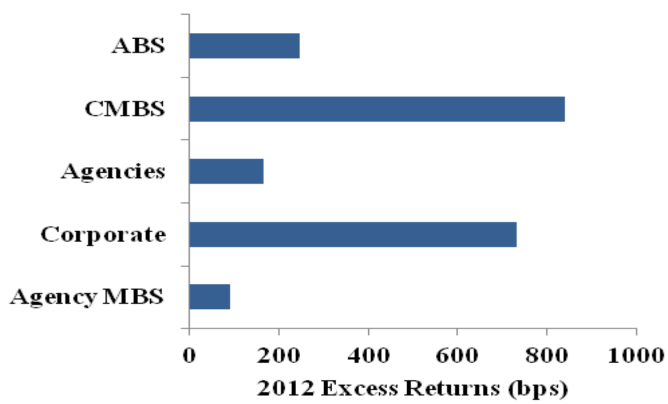
Sector wrap-up: spread product wins the day

With our philosophy of "Yield Wins Over Time," it comes as no surprise that we strategically overweight spread product. As noted above, spreads compensate investors for accepting all types of risk, and spreads change over the economic cycle just as interest rates (i.e. U.S. Treasury bond yields) do. As low interest rates have become a global phenomenon, investors of all types have been loading up on spread product, which had reached historically cheap valuations during the 2008 Crisis. (see exhibit 2)

These excess returns leave us feeling less excited about the prospects for robust results going forward simply because current spreads offer less cushion or margin for error. While the fundamentals of corporate bonds remain on sound footing, the marked improvements seen over the last few years have come to an end and now look to be eroding on the margin. Meanwhile, the Fed's purchases of Agency MBS noted earlier have skewed market yields to the downside, leaving us ambivalent on this sector at best.

The bottom line: spreads appear to be fully valued, but we expect momentum from strong technical (supply-demand) factors to lead to modest spread tightening in 2013.

Exhibit 2: All sectors beat Treasuries in 2012



Source: Barclays

As for our strategy, a few brief comments are in order:

- Securitized sector: with the average price of RMBS just under $108, rapid prepayments

Economic Review

continue to keep us cautious on this sector and focused on limiting vulnerability to prepayments wherever possible as long as the cost to do so does not negate the benefit. Some features of Agency pass-throughs or CMOs we have liked include investor-owned properties, high LTVs, and servicers or states with slow prepayment propensities.

- Corporate sector: focus on companies with sustainable competitive advantages, defensible margins, growth opportunities in developing economies, and conservative financial policies. Stable or improving credit ratings are the ultimate goal.
- Municipal sector: focus on above-average wealth and income, stable or improving demographics, conservative financial policies, and essential services. Ratings stability is the ultimate goal since most of this sector already enjoys high ratings.
- Overall strategy: stable, predictable results that meet your expectations with strategies you understand.

Recovery will continue, albeit slowly

Although the pace of growth in this recovery has been slower than most would like, modest growth appears sustainable and is becoming more broad-based. Key factors include the following:

- The recovery in residential real estate is gaining momentum and breadth which should allow the important homebuilding industry to contribute to growth in 2013. Household formations are returning to more normal levels, inventory of new homes is at an all-time low, prices have bottomed in most major markets, and mortgage rates are exceptionally low.
- Auto sales have improved thanks in part to the revival of homebuilding (trucks are everywhere in the building trade). Pent-up demand combined with an aging fleet bodes well for continued sales gains. Global production exceeds demand, however, so margins will remain fragile.
- The drag from state and local government cutbacks is moderating as tax revenues revive.
- The all-important commercial and industrial loan segment of banking is growing again, which means some credit growth is taking place.

While we certainly do not anticipate a blockbuster year in terms of GDP growth, we do believe there is cause for some optimism for progress to take root. One big assumption, however, is that the Eurozone is able to hold together which seems plausible at least for the immediate future.

One prominent economic analysis firm notes that "…there continue to be many complex unresolved economic and financial issues…and how things play out will depend a lot on politics," and this is true across much of the globe: China's leadership just changed over as did Japan's, many of Europe's leaders have been tossed and two elections are looming, and our own Congress seems hopelessly polarized. These circumstances leave us feeling cautious as we begin a new year and ever mindful of the great responsibility placed on us as stewards of your assets.

For more information please contact Carl Terzer at 973-665-6370 or info@capvisorassociates.com

A Focus on Stocks: Where Do We Go From Here?

portfolios. Resultant from this inevitability is the strengthening, and perhaps dangerous, undertow pulling investors towards equities. Retail investors have led the mass migration of capital into stocks from the safe havens sought over the past several years, namely Treasuries and high quality corporate bonds. While insurance companies are restricted in their ability to reallocate to stock, either by virtue of regulatory or risk tolerance constraints, they too have joined the trend of increasing equity allocations. Many of those who have resisted the allure of stocks are being provoked by low bond returns to "reach for yield". Unfortunately, this strategy has pushed many insurers towards extending maturities or lowering credit quality for their "reserve" portfolios; strategies that are fraught with danger. A better measured approach would have been to add low or uncorrelated asset classes, at the margins, which produce a favorable overall risk-adjusted return, complementing their current reserve portfolio, without jeopardizing their claims paying ability. Reallocations away from growth stocks and into higher-dividend stocks as well as other asset classes such as high yield bonds, master limited partnerships and real-estate investment trusts are other examples of more prudent tactical reallocations.

Predictions for the stock market

With this less than rosy market scenario facing insurance companies in bond world, the question remains: where do we go from here? Should insurers take the bait and invest proportionally more in equities? Well, with the S&P 500 up 6.81% year-to date, at the time of this writing, caution might be advised. Figure 1 on the following page, highlights the top Wall Street strategists' expectations for 2013 making it appear that we should have a sub-par year from historical standards. Since we have already exceeded most expectations for the year, are we to infer

Continued on page 4

“U.S. stock market is equal to about 133% of gross domestic product. The 60-year average is 82%. “

A Focus on Stocks: Where Do We Go From Here?

that the market will retrace some of its progress to date? Many investment advisors are urging retail investors to join in on the recent market rally. In January, a record $30 billion was reallocated into stocks and stock funds (ETFs) representing the fastest inflow into equities since 2000. We all remember what happened next.

Perhaps things will go well for the economy this year… finally. Maybe Congress will learn the art of compromise, or at least politic in a manner that avoids damaging our slow and precarious climb out of recession. Perhaps European economies, several of which are on the edge of slipping into recession, pick-up the pace and resume moderate growth. Can the US housing market continue to recover notwithstanding the stubbornly high unemployment rate? The US economy may finally be poised to strengthen and expand. Many people share this optimistic scenario; that of a more robust economic recovery as is reflected in current stock market sentiment which is 42.7% Bullish, 29% Neutral and 28.7% Bearish[1] .

This view would warrant the termination of the Federal Reserve’s QE programs. Resulting interest rate increases and concerns over inflationary pressures could force long term treasury yields higher. Higher Treasury yields have not historically been a good sign for stocks. However, this may not be the strongest headwind for the stock market. To propel our economy and this hypothetical secular bull market, US companies would need to continue to generate strong profit growth. Is this possible? With approximately 70% of US GDP dependant on consumer spending, and unemployment figures stuck at unacceptably high levels, one must entertain doubts. Correspondingly, employee compensation as a percentage of GDP amounted to 54.7% in the fourth quarter 2012. This is its lowest level since 1955, making it seem somewhat unlikely that the engine of corporate growth and profitability, consumer spending, will play its required role.

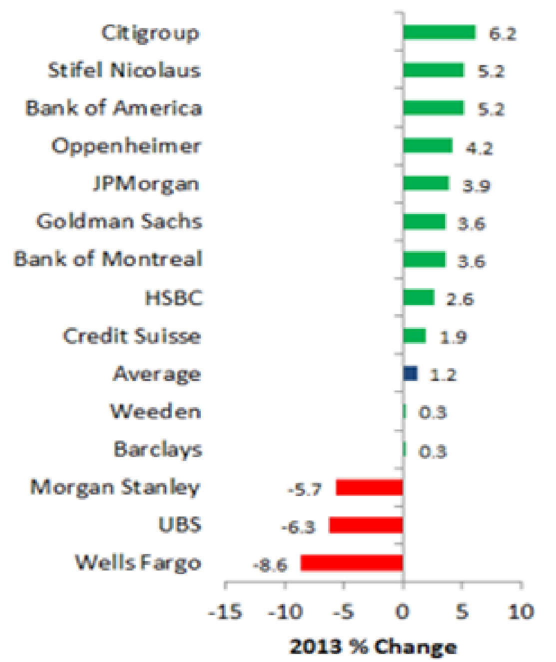
So, to summarize our apparent stock market conundrum, stock prices are steady or rising, primarily on sentiment, while:

- Corporate earnings estimates keep falling.
- US GDP growth for 2012

Figure 1

2013 Wall Street Strategist S&P 500 Year-End Price Targets

Firm	2013 Year-End Target	% Change
Citigroup	1,615	6.20
Bank of America	1,600	5.22
Stifel Nicolaus	1,600	5.22
Oppenheimer	1,585	4.23
JPMorgan	1,580	3.90
Bank of Montreal	1,575	3.57
Goldman Sachs	1,575	3.57
HSBC	1,560	2.59
Credit Suisse	1,550	1.93
Barclays	1,525	0.28
Weeden	1,525	0.28
Morgan Stanley	1,434	-5.70
UBS	1,425	-6.29
Wells Fargo	1,390	-8.59
Average	**1,539**	1.17



Continued on page 5

A Focus on Stocks: Where Do We Go From Here?

Figure 2

was 1.5%. Whenever it has been below 2%, a recession has followed in every case since 1948.

- Pressures, due to continued deleveraging and economic malaise, make robust near-term US GDP growth doubtful.
- Many Euro-zone GDP's continue to contract as well as those of the UK and Japan.

Balancing these troubling issues, at least stocks do not look expensive on a P/E basis, right? Well, maybe not. When taking into account current GDP, the value of the U.S. stock market is equal to about 133% of gross domestic product. The 60-year average is 82%. From a historical perspective, the only time it was higher than now was during the run-ups to the dot-com and housing bubbles.

We all like the looks of this chart between 1980 and 2000 (Figure 2.), but what direction will the next few years take?

The most popular method of determining whether the stock market is "cheap" or "expensive" is to use the S&P 500's Price-to-Earnings (P/E) ratio for the trailing twelve months (TTM). Since this method ignores forward estimates, it eliminates speculation about future direction of prices and earnings. From the P/E TTM, it can be deduced that cheap markets are poised to go up, and visa versa, in accordance with the principals of "reversion to the mean".

In our view, the P/E TTM is not a particularly good indicator of the market's value, on a relative basis, when compared to the Shiller P/E[2], which uses a much longer 10 year time period. Shiller refers to his ratio as the Cyclically Adjusted Price Earnings Ratio (CAPE), although the term P/E10 is commonly used. For some perspective, the P/E TTM and the P/E10 have historical medians of 14.49 and 15.87, respectively. Currently, the P/E TTM and the P/E10 are at 17.29 and 23.42. This introduces the possibility that the market may be overpriced.

Today's market valuation can also be put into historical context by using percentile analysis. As the chart below illustrates, the latest P/E10 ratio is approximately at the 85th percentile of the 1584 data points in this series[3].

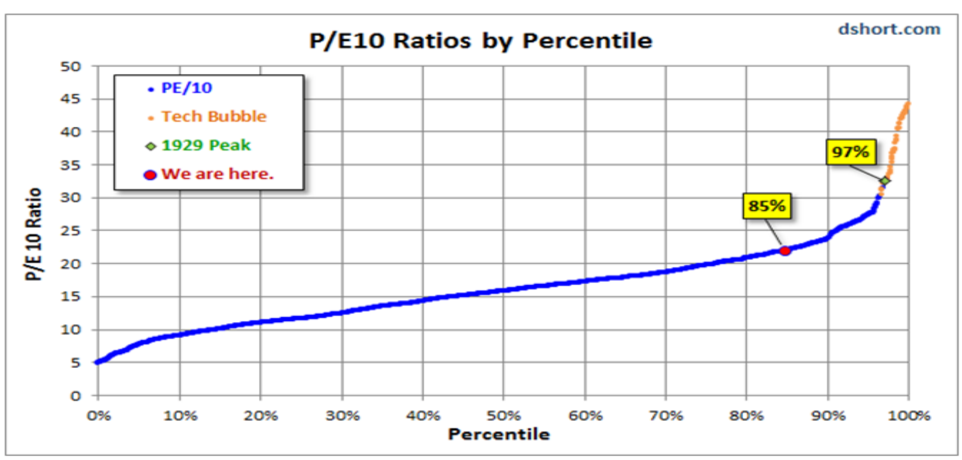
Does the market look overpriced now? If not, it does not look cheap either.

For a more precise view of how today's P/E10 relates to the past, one can divide the monthly P/E10 valuations into quintiles. Ratios in the top 20% would suggest a highly overvalued market and the bottom 20% a highly undervalued market. Where is today's market? You guessed it…the top quintile. By this historic measure, the market is indeed expensive, with the ratio approximately 34% above its average (arithmetic mean) of 16.5. Last month it was 29% above the mean.

The stock market's long decline, or extended period of sub-average historical annual return (6.6%), is now approaching its 13th year. These secular declines have ranged in length from over 19 years to as few as three and averaging about 10 years. It is very inviting to think that we must be close to a secular bull. So much so that we tend to look for supporting evidence in every positive market move or piece of news. We all read that there are many such signs to support the expectation of robust market growth. It truly is a confusing picture.

So, where do we go from here?

We do not put much faith in



Continued on page 7

MLPS : A Tax Advantaged Refuge from Low Rates

Ben Niedermeyer, CFA, is a Partner and portfolio manager at Taylor Investment Counselors in Boston, MA. Over his 37 years of investment management experience with various firms, he has served as portfolio manager for both fixed income and equity portfolios. Ben graduated from Carroll College in 1973 with a BA in Business and received his MBA from the University of Oregon in 1975. Taylor specializes in the management of customized, publicly traded Master Limited Partnership ("MLP") investment portfolios. In addition, they run an attractive Growth and Income strategy.

“Today MLPs offer a distribution yield of about 6.70% versus a 10 year U.S. Treasury note yield of 2.00%. “

As we all are aware, interest rates are extremely low and have been for a long time. They are likely to remain low for the next few years albeit may rise some as the economy recovers. Even this cyclically induced rise in interest rates will be muted and push interest rates up only modestly in our view. Insurance companies, who are predominantly fixed income investors are particularly likely to be very disappointed. Today, an investor in a ten year U.S. Treasury note faces the prospect of a 2 percent yield and some erosion in market value as interest rates rise. Annualized total returns over the next few years could be breakeven or slightly negative.

MLPs (Master Limited Partnerships) offer a solution to the low rate dilemma. Today MLPs offer a distribution yield of about 6.70% versus a 10 year U.S. Treasury note yield of 2.00%. MLPs are expected to grow their distribution yields 5 percent or more annually versus a fixed payout of interest by a U.S. Treasury note. This growth aspect of MLPs is underappreciated by investors and a key part of the superior total returns MLPs have historically achieved. Table 1 above amplifies this point:

MLPs are pass-through entities that pay out virtually all of their cash flow to investors. Approximately 80 percent of a given MLP’s distribution is shielded from taxes until the eventual sale of the investment. This shield is created by the portion of the MLP’s payout that derives from depreciation. A simple example (Table 2)will clarify.

There is very little tax friction on annual distribution income. In our example above, the investor pays out only 24 cents on the $3.00 in distribution income. Upon sale of the MLP investment this historically shielded income is recognized for tax purposes.

Table 1	Ten Year Total Returns*
Alerian Total Return Index (MLPs)	16.5%
S&P 500	7.1%
REITs	11.0%
DJ Utility	7.5%
Barclays Aggregate	5.2%

Table 2	Hypothetical Tax on MLP Distribution Income*
Distribution Income	$3.00
Depreciation Shield	$2.40
Taxable Income	$0.60
Tax @ 40%	$0.24

Table 3	MWE	TLLP
Price per unit	$56.50	$46.06
Distribution Yield	5.8%	4.1%
Estimated Future Annual Distribution Growth	8.0%	16.0%
% Estimated Tax Deferral	80%	80%
Market Capitalization	$4 billion	$1.4 billion

*Assumptions $50 unit cost, $3 annual distribution, 40% tax rate (approximates maximum corporate tax rates of 39.2% when Federal and State taxes are combined), 80% tax shield

MLPS : A Tax Advantaged Refuge from Low Rates

This deferred taxable income is taxed at ordinary rates. Any gain beyond this, is taxed at capital gains rates. In sum, MLPs offer distinct tax advantages that include tax deferrals as well as capital gain income. From a tax standpoint they are, in our minds, vastly superior to other fixed rate investments.

Today, we are optimistic regarding the long term prospects for MLPs. They are a key enabler for the natural gas revolution now taking place in the United States. Politicians and regulators are very aware of their strategic importance to the country's drive towards energy independence. We anticipate total returns over the next several years of over ten percent annually. This will be driven by a combination of distribution yield (6%) and annual distribution growth (5%).

Two individual partnerships that are particularly worthy of investment consideration are Markwest (MWE) and Tesoro Logistics (TLLP). Both partnerships are involved with large rapidly growing shale resource formations. The Marcellus and Utica are enormous shale formations where Markwest has a dominant presence. Both formations will require a steady build out of natural gas gathering, processing and storage infrastructure. Markwest has the opportunity and ability to invest capital at high rates of return for several years. Tesoro Logistics is involved with oil transportation and logistics. The partnership provides key infrastructure to the Bakken Shale formation in North Dakota which will take years to develop and ultimately be one of the largest oil basins in the world. Table 3 lists a few statistics for each partnership.

Why do MLPs contradict a financial axiom that risks and returns are directly related? It all stems from their low risk business models. MLP revenue streams derive from long-term multi-year fee based contracts and this results in very predictable revenue streams. MLPs are regulated monopolies that encounter very little competitive pressure. Because MLPs pay out most of their internally generated cash flow and build up very little retained earnings, capital expenditures are conservatively managed and rarely undertaken without future utilization being fully contracted. Since virtually all growth related capital expenditures are financed, MLPs must demonstrate excellent financial discipline or be denied capital market access. All of these attributes contribute to MLPs exhibiting less than market risk.

Market Risk Attributes	For the Ten Years Ended 12/31/12	
	S&P 500	Alerian MLP Index
Alpha	0.00	12.96%
Beta	1.00	0.56
Standard Deviation	14.77	16.27
Sharpe Ratio	0.37	0.91
Downside Capture	100.00%	38.00%
Upside Capture	100.00%	87.80%

For more information please contact Carl Terzer at 973-665-6370 or info@capvisorassociates.com

A Focus on Stocks: Where Do We Go From Here?

stock market forecasts. While factors such as momentum and sentiment certainly drive markets, they are nearly impossible to predict. We believe that, over the long term, their affects are subjugated by more fundamental factors. Therefore, we prefer to use market research that relies on macro indicators for economic and market conditions, such as GDP or P/E10, as signals for strategic decision-making and relative value analysis for more tactically oriented decisions.

Insurers question how they can improve investment returns under the prevailing economic and market conditions, given their constraints, and without incurring undue risks. In short, we are advising "value" and "dividend" approaches to investing in today's stock market with marginally higher allocations to US equities than in past years. While this article has not addressed global equity markets, we believe that non-US exposure is important in insurance equity portfolios. Our DFA-based Strategic Asset Allocation (SAA) modeling has also found great value in adding allocations of low or uncorrelated asset classes to insurers' high quality bond portfolios. As mentioned earlier, these allocations might include high yield, preferreds, convertibles, MLPs, REITs, Cat bonds, private equity, etc. The single most important thing in repositioning your portfolio for the imminent changes in market conditions will be to correlate those reallocations with your overall business and investment objectives within a risk framework that incorporates both sides of your

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company's balance sheet. Optimizing risk-adjusted returns to determine new allocation percentages in a manner consistent with your overall risk tolerance and regulatory environment are more important than ever now that the "sure" returns of the bond bull market have faded into history. As insurance asset management specialists, we urge clients to be wary of following the pundits, generalists or the "conventional wisdom", for as we know, insurers are quite a unique group of investors.

1. **AAII Investor Sentiment Survey:** (2/13/13)
2. Robert Shiller, a Yale professor modified the P/E TTM using the 10-year average of "real" (inflation-adjusted) earnings as the denominator.
3. **Is the Stock Market Cheap?** Doug Short (2/4/13): data series, monthly 1881-2013

For more information please contact Carl Terzer at 973-665-6370 or info@capvisorassociates.com

A Busy Start to 2013

As announced, Carl Terzer and Joseph LoPorto attended **VCIA Legislative Day** in Montpelier VT on 1/16 and on 2/19 the VCIA Road Show in NY

On 2/27 Carl and Joe also attended **The Insurance Regulatory Forum sponsored by Reactions (RE) Insurance Magazine** at the Harmonie Club in NYC

Upcoming Events

The **CIC-DC Cell Captive Seminar** takes place on May 7 at the City Club in Washington, DC. Carl Terzer will be attending this event.

The **PIAA 2013 Medical Liability Conference** is at the JW Marriott Desert Springs in Palm Desert, CA May 15-17 and Carl Terzer will be exhibiting at this conference so please stop by booth #405 and say hello!

The **USA Risk Conference** will be May 21-23 in Charlotte, NC at the Ballantyne Resort. Mr. Terzer will be a moderator at this event.

The **NYIA 2013 Annual Conference** is May 29-31 at the High Peaks Resort in Lake Placid, NY. Mr. Terzer and Mr. LoPorto will be exhibiting at this event.

The **Bermuda Captive Conference** will be held at The Fairmont Southampton on June 10-12. Mr. Terzer is a registered attendee.

Carl E. Terzer
Principal
Editor in Chief

CapVisor Associates, LLC

CapVisor Associates, LLC

...working exclusively with insurance companies

219 Main St. #693
Chatham, NJ 07928
973-665-6370
info@capvisorassociates.com
www.capvisorassociates.com

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